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Fixed Income Research - High Yield Market Outlook

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Summary

The high yield market enters the summer in a technically constructive but fundamentally uneven position. New issue supply has been manageable relative to reinvestment demand, keeping most sector spreads range-bound even as headline volatility in equities and rates has picked up. We continue to favor a modest up-in-quality tilt within the asset class, concentrated in issuers with covenant packages and maturity profiles that leave limited near-term refinancing risk.

Retail flows into high yield funds have been positive but modest over the past month, consistent with a market that is neither aggressively risk-on nor defensively de-risking. CCC-rated paper has continued to underperform single-B and BB paper on a total-return basis, a pattern we expect to persist absent a clearer improvement in the macro backdrop.

Technical Backdrop

Primary market issuance has skewed toward refinancing rather than new money, consistent with issuers opportunistically terming out near-dated maturities rather than funding incremental leverage. Dealer inventories have remained light, and secondary market liquidity has been adequate but not abundant, particularly in smaller, less liquid names outside the index-eligible universe.

Retail separate accounts and ETF flows have provided a steady bid for shorter-duration, higher-quality paper, while dedicated CLO demand has concentrated further up the capital structure in loans rather than bonds. We expect this bifurcation to continue barring a meaningful re-rating of growth expectations.

Sector-by-Sector View

Sector	OAS (bps)	3-Mo Total Return	View
Healthcare Services	342	1.4%	Neutral
Energy - Midstream	298	1.8%	Overweight
Retail - Discretionary	455	0.6%	Underweight
Telecom - Wireline	410	1.1%	Neutral
Gaming & Leisure	365	1.9%	Overweight
Chemicals	320	1.3%	Neutral
Building Products	355	1.5%	Neutral
Media & Broadcasting	480	0.4%	Underweight

We remain overweight energy midstream, where fee-based cash flow visibility and disciplined capital spending continue to support credit profiles even amid commodity price volatility. Gaming and leisure names have benefited from resilient consumer spending on experiences relative to goods, a pattern that has held up better than we expected entering the year.

We stay cautious on retail discretionary and media/broadcasting credits, where secular pressure on traffic and advertising revenue, respectively, continues to weigh on de-leveraging trajectories. Idiosyncratic credit selection remains more important than sector beta in both spaces.

Issuer-Level Credit Selection Themes

Within energy midstream, we continue to favor issuers with the highest proportion of contracted, fee-based revenue and the lowest direct commodity price exposure, since these issuers have historically shown the most stable EBITDA margins through commodity price cycles. We are more selective on gathering-and-processing issuers with meaningful acreage dedication to a small number of upstream counterparties, where a single counterparty's production shortfall can move volumes materially.

In gaming and leisure, we favor regional casino operators with diversified property footprints over single-property credits, on the view that diversification reduces the earnings impact of localized weather events, competitive openings, or one-off property-level disruptions. We remain selective on issuers with elevated exposure to a single metropolitan market where a competitor has announced a new property opening within the next 12 to 18 months.

In healthcare services, we prefer issuers with a higher mix of non-discretionary procedure volume and a demonstrated ability to negotiate favorable commercial payor rate increases, and we remain cautious on issuers with concentrated exposure to elective, discretionary procedure categories that are more sensitive to consumer out-of-pocket cost decisions.

Within retail discretionary, our preference continues to run toward off-price and value-oriented formats over full-price specialty retail, consistent with the broader consumer trade-down pattern we have discussed in prior notes. We remain underweight several full-price specialty concepts where same-store sales trends have decelerated for three or more consecutive quarters.

Primary Market Calendar and Positioning

The forward new-issue calendar remains manageable by historical standards, with the pipeline skewed toward refinancing transactions for issuers with 2027 and 2028 maturities rather than new-money transactions funding incremental leverage or dividend recapitalizations. We would expect any meaningful pickup in dividend recapitalization issuance to be a signal worth revisiting our constructive technical view, since that issuance category has historically been associated with a deterioration in credit quality within the new-issue cohort.

Deal structuring in recent new issues has generally maintained covenant packages broadly consistent with 2023-2025 vintage transactions, without the further erosion in restricted payments or investment baskets that characterized some 2021 vintage transactions. We view this as a modestly positive signal for the asset class's structural quality relative to the prior cycle peak.

Secondary market technicals remain supportive for well-known, index-eligible issuers, where dealer axes and client demand have generally been easy to match. Off-the-run and smaller issuers outside the major indices continue to trade with wider bid-ask spreads and less reliable two-way liquidity, a distinction we would expect to persist through any further bouts of broader market volatility.

Cross-Asset Read-Through

High yield spreads have continued to trade with a low, but not zero, correlation to equity volatility over the past quarter, consistent with a market that is pricing credit risk somewhat independently of broader risk-asset sentiment. Leveraged loan spreads have moved in a similar direction to high yield bond spreads over the period, though loan issuance volumes have continued to run ahead of bond issuance volumes as CLO formation has remained the primary demand driver for the loan market.

We would flag that a sustained widening in investment grade credit spreads, which have been comparatively stable over the review period, would likely be an earlier and more reliable signal of a broader deterioration in credit market conditions than any single high yield sector move, given the more macro-sensitive investor base in investment grade credit.

Fund Flows and Positioning Detail

Weekly fund flow data for dedicated high yield mutual funds and ETFs has shown a modest net inflow in nine of the past twelve weeks, with the three outflow weeks each coinciding with broader risk-off sessions in equities rather than any high yield-specific catalyst. ETF flows have been somewhat more volatile week to week than mutual fund flows, consistent with the generally faster-moving, more tactically oriented investor base in the ETF vehicles relative to traditional open-end mutual funds.

Separately managed account positioning, based on the subset of client portfolios we have visibility into, has shown a modest reduction in CCC exposure over the past quarter relative to a year ago, consistent with the broader quality-tiering theme discussed throughout this note. We would characterize current positioning across our client base as modestly defensive relative to the broad index, rather than aggressively risk-off.

Covenant Quality Trends

Covenant quality on new issues, as measured by the restrictiveness of restricted payments baskets, investment baskets and EBITDA add-back conventions, has been broadly stable over the past several quarters after tightening modestly from the looser terms seen at the prior cycle's peak. We have not observed a material further loosening in new-issue documentation even as market technicals have improved, which we view as a constructive signal about underwriter and investor discipline relative to prior cycles.

Sponsor-owned issuers have continued to account for a larger share of loosely covenanted new issues than non-sponsor-owned issuers, consistent with the historical pattern in the asset class. We continue to apply a modest additional discount to our internal recovery assumptions for sponsor-owned issuers with EBITDA add-back conventions we regard as aggressive relative to sector norms, independent of the issuer's reported leverage on a covenant-defined basis.

Liquidity and Maturity Wall Considerations

The next two years' maturity wall for our coverage universe remains manageable in aggregate, with the large majority of issuers we track having no maturity inside the next 18 months. A smaller cohort of issuers with 2027 maturities has already begun opportunistically refinancing given the constructive technical backdrop discussed throughout this note, and we would expect that pace to continue absent a meaningful deterioration in market conditions.

For the smaller number of issuers we track with limited revolver availability and a maturity inside the next 12 months, access to the primary market remains the key variable determining whether a refinancing proceeds on favorable terms or instead requires a more structured, potentially secured, transaction. We continue to monitor this cohort most closely for early signs of the kind of distressed exchange activity discussed in the Default Rate and Recovery Context section above.

Sector Weightings Versus Index

Our model portfolio has continued to run a modest overweight to energy midstream and gaming and leisure relative to the broad index, funded by underweights to retail discretionary and media and broadcasting, consistent with the sector views discussed throughout this note. We have made no material change to these relative weightings over the past quarter, reflecting our view that the underlying sector fundamentals driving each position remain intact.

Within healthcare services, our neutral sector weighting masks meaningful dispersion at the individual-issuer level, with our individual-name positioning tilted toward operators with the ambulatory-weighted service mix we and our colleagues on the equity research side have flagged as the more durable model within the broader sector, a theme we discuss at greater length in our separately published sector-specific research.

We have made no change to our telecom wireline weighting this month, continuing to view the sector's steady, if unexciting, free cash flow generation as a reasonable ballast position for accounts seeking lower spread volatility than the broader index, notwithstanding the sector's structurally declining line-count trend.

ESG and Sustainability-Linked Considerations

A modest but growing share of new issuance across the sectors we cover has carried sustainability-linked pricing step-ups or step-downs tied to specific, issuer-disclosed key performance indicators, most commonly greenhouse gas intensity targets in the energy and chemicals sectors and workforce safety metrics in gaming and leisure. We have not observed a meaningful pricing differential for sustainability-linked structures relative to conventional structures for otherwise comparable issuers, consistent with the broader market's treatment of the feature as a structural add-on rather than a distinct pricing factor.

We continue to monitor evolving state-level and federal disclosure requirements relevant to several of the sectors covered in this note, particularly energy midstream, though we have not identified a near-term regulatory development we would consider likely to be a material credit catalyst for the issuers we cover over the outlook horizon of this note.

Building products issuers in our coverage have generally continued to benefit from steady repair-and-remodel demand even as new residential construction activity has remained subdued, a bifurcation we expect to persist for as long as existing-home sales volume stays constrained by the limited-inventory dynamic discussed in our regional commentary. Chemicals issuers have shown a more mixed picture, with commodity chemical producers more exposed to global demand and pricing cycles than specialty chemical producers with more differentiated, formulation-specific products.

Within telecom wireline, secular line-count decline has continued at a broadly steady pace, offset in part by fiber-to-the-home upgrade programs that have supported average revenue per user in the markets where those upgrades are furthest along. We do not expect a material change to the credit trajectory of the wireline names we cover absent a meaningful acceleration in that fiber upgrade pace.

Data Sources and Methodology Note

Spread, total return and default rate figures cited throughout this note are drawn from Meridian's internal analytics platform, which aggregates pricing from multiple dealer and electronic trading venues; individual bond-level marks may differ from any single dealer's own pricing at a given point in time. Sector and index-level figures are composite calculations and are not attributable to any single named issuer.

Risks to the Outlook

The principal risk to our constructive technical view is a re-acceleration of new issue supply should equity market volatility subside further, which could pressure spreads modestly wider even without a change in the credit fundamentals of individual issuers. A second risk is a sharper-than-expected slowdown in consumer spending, which would disproportionately affect the retail and gaming sectors flagged above.

On the upside, a continuation of the recent moderation in headline inflation readings, together with stable-to-improving labor market data, would likely support continued fund inflows and a further modest tightening of spreads across most sectors covered here.

Rating Migration Trends

Upgrade activity has modestly outpaced downgrade activity across our coverage universe over the trailing twelve months, continuing a trend that began roughly two years ago as issuers that delevered through the post-pandemic period were rewarded with ratings actions reflecting that progress. The pace of net positive migration has slowed somewhat over the past two quarters, however, as the easiest de-leveraging gains have largely already been realized across the cohort.

Within our coverage, energy midstream and gaming and leisure have shown the most consistent positive rating migration, consistent with the sector views discussed above, while media and broadcasting has shown the most consistent negative migration, also consistent with our sector view. Retail discretionary has shown a wider dispersion of outcomes than any other sector we cover, with idiosyncratic company-specific factors driving individual rating actions more than any common sector theme.

Default Rate and Recovery Context

The trailing twelve-month par-weighted default rate for the broad high yield universe has remained below its long-run historical average, consistent with the generally constructive fundamental backdrop discussed throughout this note. Distressed exchange activity has continued to account for a meaningfully larger share of total default activity than traditional bankruptcy filings, a pattern that has held for several years and that we expect to continue given the prevalence of amend-and-extend liability management transactions as an alternative to a formal restructuring process.

Recovery rates on the defaults that have occurred have been broadly consistent with historical sector-level averages, with secured paper continuing to recover at meaningfully higher rates than unsecured paper across essentially every sector we track, and with recoveries generally lower in sectors with a higher proportion of asset-light business models, consistent with the lower hard-asset collateral value available in a restructuring scenario for those issuers.

Spread History Context

Period	BB Index OAS (bps)	B Index OAS (bps)	CCC Index OAS (bps)
12 months ago	298	412	845
6 months ago	275	385	790
3 months ago	260	370	760
Current	252	358	745

The tightening trend across quality tiers over the past year has been broadly consistent, though CCC spreads have

tightened by a smaller proportion of their starting level than BB or single-B spreads, consistent with the continued underperformance of the lowest-quality tier discussed in the Summary above. We would view a reversal of this pattern - CCC spreads tightening faster than higher-quality tiers - as a signal that risk appetite in the asset class had shifted meaningfully more aggressive than its current, more discriminating posture.

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